



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 3

IDEAS TO OPPORTUNITIES



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam



MARKETING
GREATNESS
MICHAEL

**Ideas
v.
Business
Opportunities**

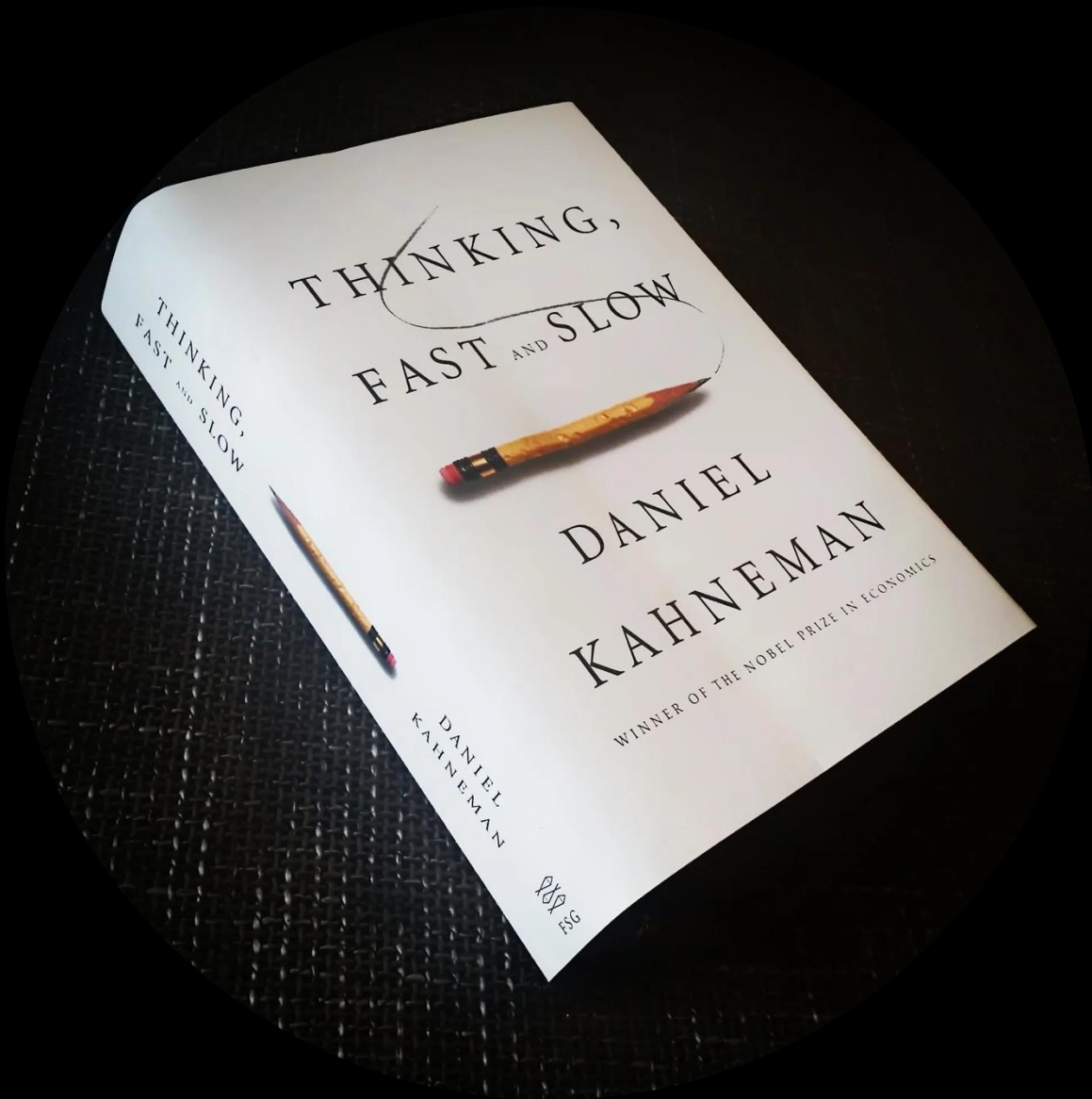
From an Idea to a Business Opportunity

Opportunity can be conceptualized as a product or service that:

- Creates **significant value** for customers
- Offers **significant profit potential** to the entrepreneur and investors
- Represents a **good fit with the capabilities** of the founder and the management team
- Is **durable** in the sense that the opportunity for profits will persist over a reasonable length of time
- The opportunity is **amenable to financing**

Bias:
A barrier
between ideas
and business
opportunities





Daniel Kahneman
(1934-2024)
&
Amos Tversky
(1937-1996)

Some of the biases in our daily lives

Bias	Manifestation
Sunk Cost Fallacy	
Conjunction Fallacy	
Anchoring	
Optimism Bias	
Herd Mentality	
Confirmation Bias	
Survivorship Bias	

Sunk cost fallacy

- “We refuse to cut losses when doing so would admit failure. We are biased against actions that could lead to regret.”

Daniel Kahneman, Economist & Psychologist, Nobel Laureate

- Sunk cost: the cost incurred that cannot be recovered.
- Sunk cost fallacy refers to where next decisions are primarily built on the costs that are already incurred.



Conjunction fallacy

Let's try an example:

I saw Daenerys in Eldora. She had her skiing and fishing gear in her car and was heading to Boulder Canyon. Which is more likely?

A) Daenerys is a skier.

B) Daenerys is a skier and enjoys fishing.

- The human brain can trick us into thinking a statement with more information is more likely to be true than a simpler option.

Anchoring

In five seconds answer this question:

$$8 \times 7 \times 6 \times 5 \times 4 \times 3 \times 2 \times 1$$

or

$$1 \times 2 \times 3 \times 4 \times 5 \times 6 \times 7 \times 8$$

- When we make a decision, particularly without prior evidence, we often assign a strong level of significance to the first piece of information we see.



Optimism bias

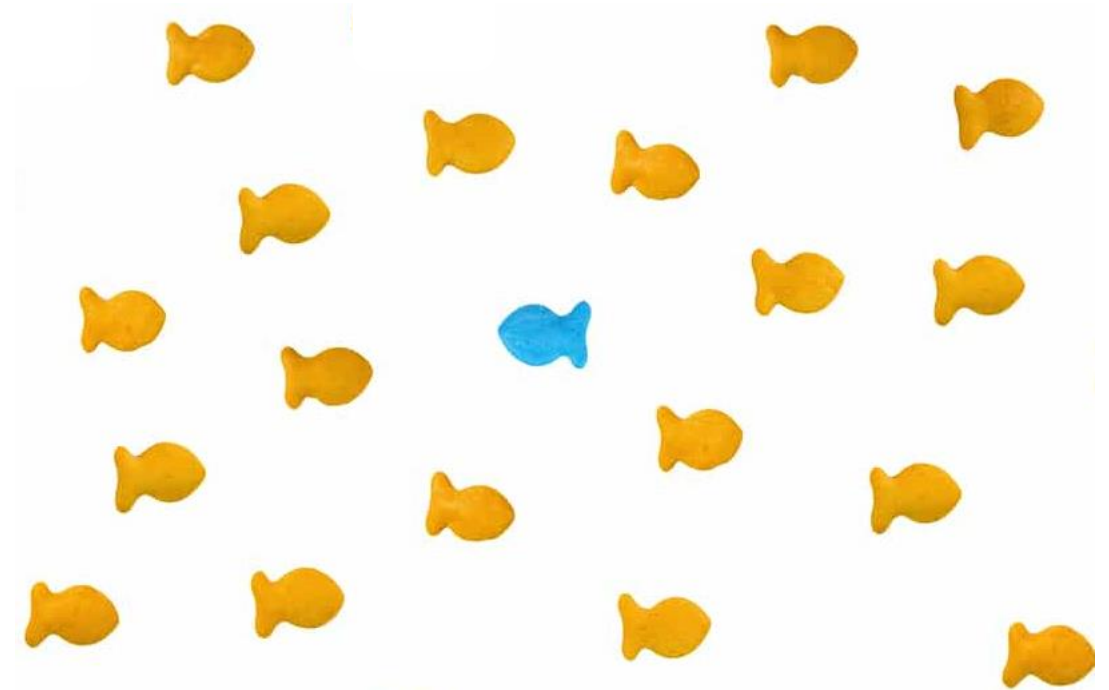
- Individuals are naturally biased to thinking that they are less at risk of something bad happening to them compared to others.
- A short story by Kahneman:

“We found an attractive but deserted motel on a little-traveled road in the middle of the forest. The owners were a charming young couple [who had] used their life savings to buy this motel, which had been built a dozen years earlier. They told us without irony or self-consciousness that they had been able to buy it cheap ‘because six or seven previous owners had failed to make a go of it’. They felt no need to explain why they expected to succeed where six or seven others had failed. A common thread of boldness and optimism links business people, from motel owners to superstar CEOs.”



Herd Mentality

- We humans are social creatures by nature. The innate desire to be a "part of the group" often outweighs any considerations of well being and leads to flawed decision-making.
- Note that historically, herd mentality has been a great device for survival.



Confirmation bias

... the tendency of people to favor information that confirms their beliefs.

- When sifting through evidence, individuals tend to value anything that agrees with them — no matter how inconsequential — and instantly discount that which doesn't. They also interpret ambiguous information as supporting their beliefs.

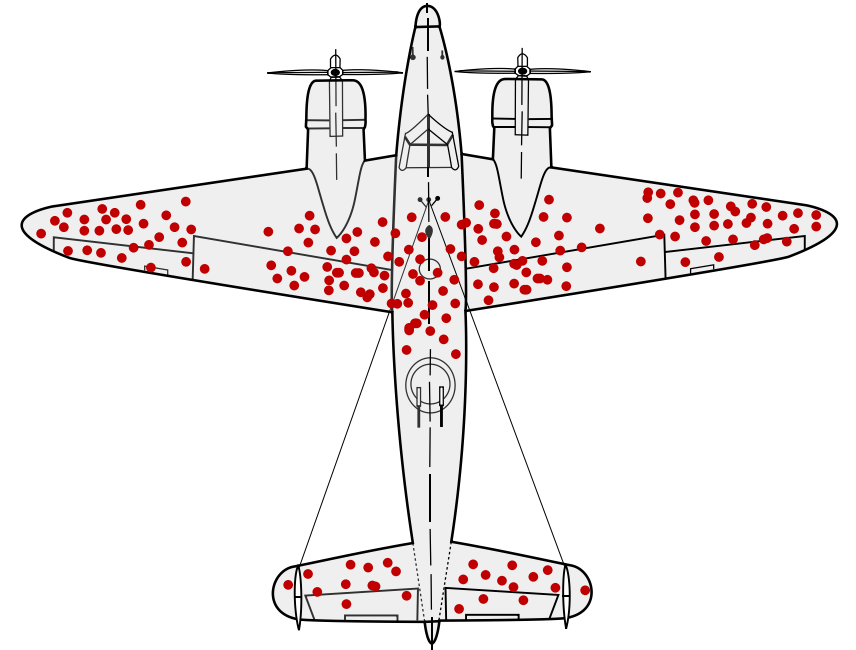


Survivorship bias

“A stupid decision that works out well becomes a brilliant decision in hindsight.”

Daniel Kahneman

- We tend to prioritize items that have gone through and survived a selection process.



Some of the biases in our daily lives

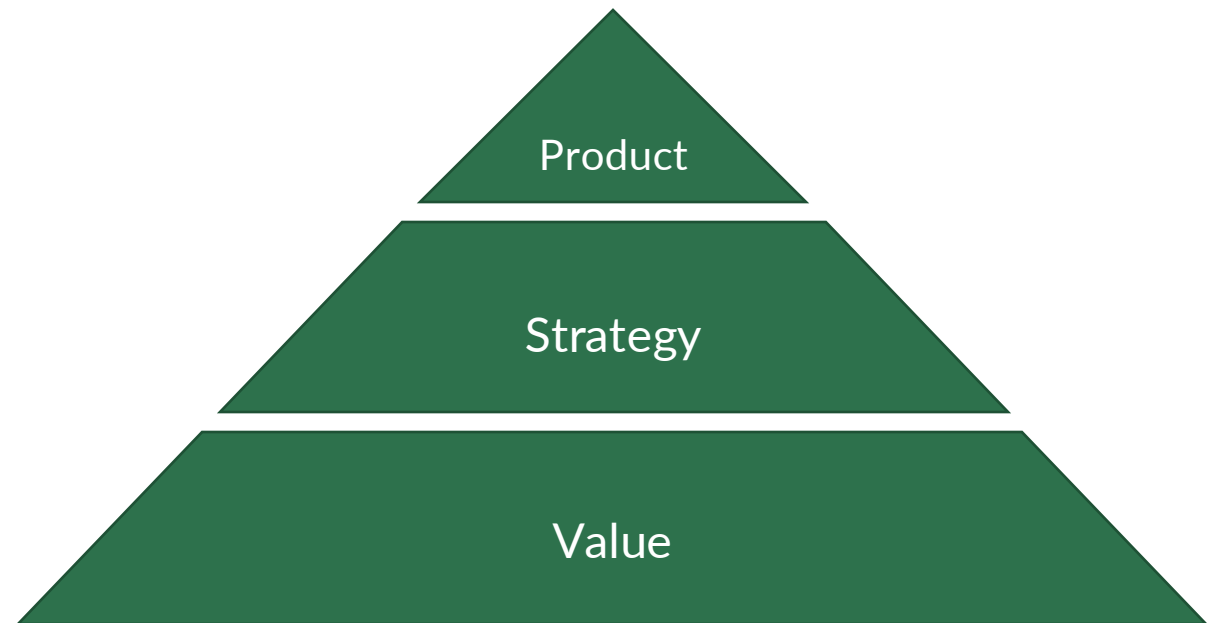
Bias	Manifestation
Sunk Cost Fallacy	Already invested. Might as well continue.
Conjunction Fallacy	Drawing incorrect conclusions from just facts
Anchoring	Information (numbers) affecting decisions
Optimism Bias	Can't happen to me!
Herd Mentality	Everybody else is doing it.
Confirmation Bias	Favor information that confirms your beliefs.
Survivorship Bias	Favor observations that have survived a selection process

From an Idea to a Business Opportunity

- The potential of an idea to become a business opportunity **must be tested**.
- How? More on this in the Lean Startup session.

In case of misfit between the idea and business opportunity ...

- A reasonable decision may be to exit.
- But perhaps there are opportunities for
 - optimization, or
 - pivot.



THANK YOU!